CAMS Tutorial: Bitcoin & Cryptocurrency

AML/CFT Risks – VASPs, DeFi, Privacy Coins, Mixers, Blockchain Forensics

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How Cryptocurrency AML Questions Are Framed

In the CAMS exam, crypto questions test your ability to identify:

- **VASP obligations** (registration, KYC, transaction monitoring, SAR filing)
- **Anonymity-enhancing technologies** (privacy coins, mixers, tumblers)
- **DeFi risks** (no centralized KYC, cross-chain bridges, illicit fund flows)
- **Blockchain forensic techniques** (chain analysis, clustering, tracking)
- **Red flags in crypto transactions** (rapid cross-chain movement, layering, unusual patterns)
- **Sanctions evasion using crypto** (mixers, privacy wallets, non-compliant VASPs)
- **Travel Rule compliance** (FATF Rec. 16 – beneficiary/originator info)

Key Ideas & Explanations (No Questions)

1. Virtual Asset Service Providers (VASPs) – FATF Definition

[KEY] **VASP includes:** exchanges, custodial wallets, OTC desks, DeFi platforms with control, some NFT marketplaces.
[FOCUS] VASPs must register, conduct CDD, monitor transactions, file SARs, and comply with Travel Rule.
[TRAP] "Decentralized platforms are never VASPs" – If they have any control, they may be.
[!] Unregistered VASP operating in your jurisdiction = high risk, likely illegal.

2. Travel Rule (FATF Rec. 16)

[KEY] Crypto-to-crypto transfers above threshold require originator and beneficiary information to be shared between VASPs.
[FOCUS] If a VASP refuses to provide Travel Rule data, it is a red flag.
[TRAP] "Travel Rule only applies to fiat wires" – No, applies to virtual assets.
[!] VASP that never requests or sends Travel Rule info = AML control failure.

3. Anonymity-Enhanced Cryptocurrencies (Privacy Coins)

[KEY] **Examples:** Monero (XMR), Zcash (ZEC with shielded transactions), Dash (PrivateSend), Grin.
[FOCUS] Privacy coins obscure sender, receiver, and amount – making blockchain tracing impossible.
[TRAP] "Privacy coins are legitimate for privacy" – Yes, but they are high risk for ML.
[!] Client using privacy coins + refusing to explain source = EDD and potential SAR. Many VASPs delist privacy coins.

4. Crypto Mixers / Tumblers

[KEY] Mixers pool and redistribute crypto to break the transaction trail.
[FOCUS] Use of a mixer is itself a red flag – indicates intent to obscure origin.
[TRAP] "Mixers can have legitimate privacy uses" – Theoretically yes, but heavily associated with illicit activity.
[!] Deposits from a known mixer address = high risk, SAR recommended.

5. Decentralized Finance (DeFi) Risks

[KEY] **DeFi protocols:** lending, borrowing, swapping without centralized KYC.
[FOCUS] Criminals use DeFi to layer funds: swap crypto → lend → borrow different asset → bridge to another chain → cash out at compliant VASP.
[TRAP] "DeFi is transparent on blockchain" – Transactions are visible but ownership is anonymous.
[!] Client who refuses to provide DeFi transaction history or wallet addresses = EDD required.

6. Cross-Chain Bridges & Chain Hopping

[KEY] **Chain hopping:** Bitcoin → Ethereum → Binance Smart Chain → Solana → back to Bitcoin.
[FOCUS] Each hop can obscure audit trail. Bridges often have weaker AML controls than major VASPs.
[TRAP] "Blockchain is immutable and traceable" – Cross-chain moves break traceability.
[!] Rapid chain hopping across multiple bridges without economic purpose = layering.

7. Non-Fungible Tokens (NFTs) & Money Laundering

[KEY] **NFT ML techniques:** wash trading (self-sales to create false value), inflated sales (dirty money buys NFT from self), NFT as data carrier (embed illicit content).
[FOCUS] Rapid NFT purchase at inflated price followed by resale at loss = layering.
[TRAP] "NFTs are art, not financial instruments" – FATF considers them virtual assets in many contexts.
[!] Same wallet buying and selling same NFT repeatedly (wash trading) = suspicious.

8. Unhosted Wallets (Self-Custody Wallets)

[KEY] **Unhosted wallet:** client controls private keys (e.g., MetaMask, Ledger, Electrum).
[FOCUS] FATF Recommendation 16 applies to transactions involving unhosted wallets if VASP can identify counterparty. Increased monitoring required.
[TRAP] "VASPs have no obligation for unhosted wallet transactions" – They must apply risk-based measures.
[!] Client consistently uses unhosted wallets to receive then immediately sends to mixer = red flag.

9. Crypto ATMs BTMs

[KEY] Crypto ATMs allow cash-to-crypto and crypto-to-cash with varying KYC levels.
[FOCUS] Low KYC limits (e.g., $500/day) exploited for structuring.
[TRAP] "Crypto ATMs are regulated like banks" – Often poorly regulated.
[!] Cash deposits at multiple BTMs just under reporting thresholds = structuring.

10. Lightning Network & Layer 2 Risks

[KEY] **Lightning Network:** off-chain Bitcoin transactions – faster, cheaper, less traceable.
[FOCUS] Opening/closing channels recorded on-chain but intermediate payments are not.
[TRAP] "Lightning is fully traceable" – Only channel opens/closes are on-chain.
[!] Large value routinely moving through Lightning with no business explanation = EDD.

11. Stablecoin Risks

[KEY] Stablecoins (USDT, USDC, DAI) used for layering because they hold value.
[FOCUS] Criminals convert volatile crypto to stablecoins to preserve value while laundering.
[TRAP] "Stablecoins are low risk because they are pegged" – The peg doesn't matter; they facilitate ML.
[!] Rapid crypto → stablecoin → different crypto → stablecoin cycle = layering.

12. Sanctions Evasion Using Crypto

[KEY] North Korea, Russia, Iran, ransomware groups use crypto to bypass sanctions.
[FOCUS] Use of mixers, privacy coins, non-compliant VASPs, and DeFi to move funds.
[TRAP] "Crypto addresses can be sanctioned" – OFAC sanctions addresses. VASPs must screen.
[!] Transaction touching a sanctioned address (even indirectly) = SAR and potential blocking.

13. Blockchain Forensics Tools

[KEY] **Tools:** Chainalysis, Elliptic, CipherTrace, TRM Labs.
[FOCUS] These tools cluster addresses, trace fund flows, identify high-risk wallets (mixers, ransomware, darknet markets).
[TRAP] "Blockchain is anonymous" – It is pseudonymous, traceable with forensic tools.
[!] VASP that does not use blockchain forensics for EDD is deficient.

14. Common Crypto Money Laundering Pattern

[KEY] **Placement:** Cash → crypto via BTM or unregulated P2P.
[KEY] **Layering:** Crypto → mixer → DeFi swap → cross-chain bridge → privacy coin → new wallet.
[KEY] **Integration:** Swap to USDC → send to regulated VASP → withdraw to bank account.
[FOCUS] Losses accepted at layering stages (e.g., fees, slippage) = laundering cost.
[TRAP] "Crypto is too traceable for ML" – Sophisticated criminals use multiple hops.
[!] Complex multi-step DeFi + mixer + bridge + privacy coin pattern = SAR.

15. Red Flags for Crypto Transactions (FATF)

[KEY] **Transaction red flags:** rapid in-and-out (same day), multiple wallet hops, structured amounts just under reporting thresholds, geographic mismatch (user in Country A, VASP in Country B), use of known high-risk addresses (mixers, darknet, ransomware).
[FOCUS] User cannot explain the business purpose of complex DeFi interactions.
[TRAP] "Crypto is fast; rapid in-and-out is normal" – Not without explanation.
[!] Declared low income but large crypto purchases = potential source of funds issue.

16. Peer-to-Peer (P2P) Crypto Trading Risks

[KEY] P2P platforms connect buyers and sellers directly; platform may have minimal KYC.
[FOCUS] Criminals use P2P to exchange cash for crypto with no VASP intermediary.
[TRAP] "P2P trading is regulated like exchanges" – Often unregulated or weakly regulated.
[!] Client who primarily uses P2P and refuses to provide counterparty info = high risk.

17. Crypto Mining Risks

[KEY] Mining pools can be used to receive illicit funds disguised as mining rewards.
[FOCUS] Criminals may rent hash power to send payments to their own pool.
[TRAP] "Mining rewards are always legitimate" – Not if hash power was paid for with dirty money.
[!] Client receiving mining rewards but cannot explain mining operation (hardware, electricity, pool) = red flag.

18. Initial Coin Offerings (ICOs) Token Sales

[KEY] ICOs historically used for fraud and ML: anonymous teams, no use of proceeds tracking.
[FOCUS] Criminals buy tokens with illicit funds, then sell on secondary market for clean crypto.
[TRAP] "Regulated ICOs are safe" – Still higher risk; token may have no liquidity.
[!] Client investing in anonymous ICO with no clear business = EDD required.

19. NFT Gaming Metaverse Money Laundering

[KEY] In-game assets, land, skins sold for crypto – valuation is subjective.
[FOCUS] Criminals buy low-value asset for dirty crypto, then "sell" to themselves at inflated price.
[TRAP] "Gaming assets are not real money" – They convert to crypto/fiat.
[!] Rapid appreciation of gaming asset value without logical explanation = potential ML.

20. FATF Grey List Black List & Crypto

[KEY] Countries with weak crypto regulation on FATF Grey List require EDD.
[FOCUS] VASP domiciled in Grey List jurisdiction is higher risk.
[TRAP] "Crypto is borderless; jurisdiction doesn't matter" – VASP jurisdiction matters for AML.
[!] Client using VASP registered in Grey List country with weak enforcement = enhanced monitoring.

21. Cryptocurrency and Correspondent Banking

[KEY] Banks that provide accounts to VASPs must apply EDD.
[FOCUS] Bank must understand VASP's AML controls, transaction monitoring, and Travel Rule compliance.
[TRAP] "VASP is regulated, so bank has low risk" – No, banks face reputational and sanctions risk.
[!] VASP with no independent audit, no blockchain forensics, no Travel Rule compliance = bank should terminate relationship.

22. Ransomware and Cryptocurrency

[KEY] Ransomware payments demanded in crypto (Bitcoin, Monero).
[FOCUS] VASPs must screen for ransomware-associated addresses.
[TRAP] "Only Bitcoin is used for ransomware" – Monero is increasingly common.
[!] Transaction to or from known ransomware address = immediate SAR and potential blocking.

23. Darknet Markets and Crypto

[KEY] Darknet markets (Silk Road, Hydra) exclusively use crypto.
[FOCUS] Blockchain forensics can identify darknet deposit addresses.
[TRAP] "Small transaction to darknet is accidental" – Unlikely; SAR still required.
[!] Any transaction linked to darknet market address = SAR.

24. Crypto Structuring / Smurfing

[KEY] Criminals break large crypto purchases into smaller amounts below VASP KYC thresholds.
[FOCUS] Multiple accounts, multiple VASPs, same ultimate beneficiary.
[TRAP] "Crypto has no reporting thresholds" – VASPs have internal thresholds.
[!] Client using multiple VASPs with just-under-limit transactions = structuring.

25. Non-Compliant VASPs (Offshore / No KYC)

[KEY] Some VASPs deliberately operate with no KYC, no registration, no SAR filing.
[FOCUS] FATF calls these "high-risk VASPs". Banks must avoid or terminate relationships.
[TRAP] "VASP is licensed in a small country, so it's compliant" – Check actual controls.
[!] VASP that refuses to identify UBO or provide Travel Rule data = terminate relationship.

26. Crypto EDD Checklist for Private Banking

[KEY] For HNW clients with crypto activity, EDD should include: wallet addresses, transaction history (at least 12 months), explanation of trading strategy, source of crypto funds (mining, purchase, payment), VASPs used, use of mixers/privacy coins, tax treatment.
[FOCUS] Refusal to provide wallet addresses or transaction history = grounds to reject or exit relationship.
[TRAP] "Crypto is private; bank doesn't need wallet addresses" – False for EDD.
[!] Client who moves crypto through DeFi and refuses to explain = SAR.

27. Travel Rule Implementation Gaps

[KEY] Many VASPs still do not fully implement Travel Rule (especially for unhosted wallets).
[FOCUS] FATF expects VASPs to use technological solutions (e.g., TRP, IVMS 101).
[TRAP] "Travel Rule is optional" – Mandatory for FATF member jurisdictions.
[!] VASP that never requests Travel Rule information from counterparties = AML deficiency.

28. Crypto Derivatives Futures ML Risks

[KEY] Crypto futures can be used to layer funds without full collateral.
[FOCUS] Complex trading strategies obscure fund origin.
[TRAP] "Futures are regulated like spot" – Often less AML scrutiny.
[!] Large futures positions with no economic hedge explanation = EDD required.

29. Stablecoin Issuer Risks

[KEY] Stablecoin issuers (e.g., Circle, Tether) must have AML programs.
[FOCUS] Issuers can freeze addresses (USDC does). Criminals avoid freeze-prone stablecoins.
[TRAP] "All stablecoins are the same" – Freeze capability differs.
[!] Criminal use of non-freezable stablecoin (e.g., DAI) to avoid asset freeze.

30. Crypto and Cross-Border Wire Transfers

[KEY] Crypto-to-fiat wires from VASPs to banks require standard wire transfer compliance.
[FOCUS] Bank must screen originator/beneficiary info, apply sanctions screening.
[TRAP] "Crypto wire is anonymous" – Not when VASP is regulated.
[!] Incoming wire from VASP with missing originator information = reject or file SAR.

[CORRECT] End of Bitcoin & Cryptocurrency AML Tutorial – Focus on VASP obligations, privacy coins, mixers, DeFi risks, and forensic tools.